
Personalization Case

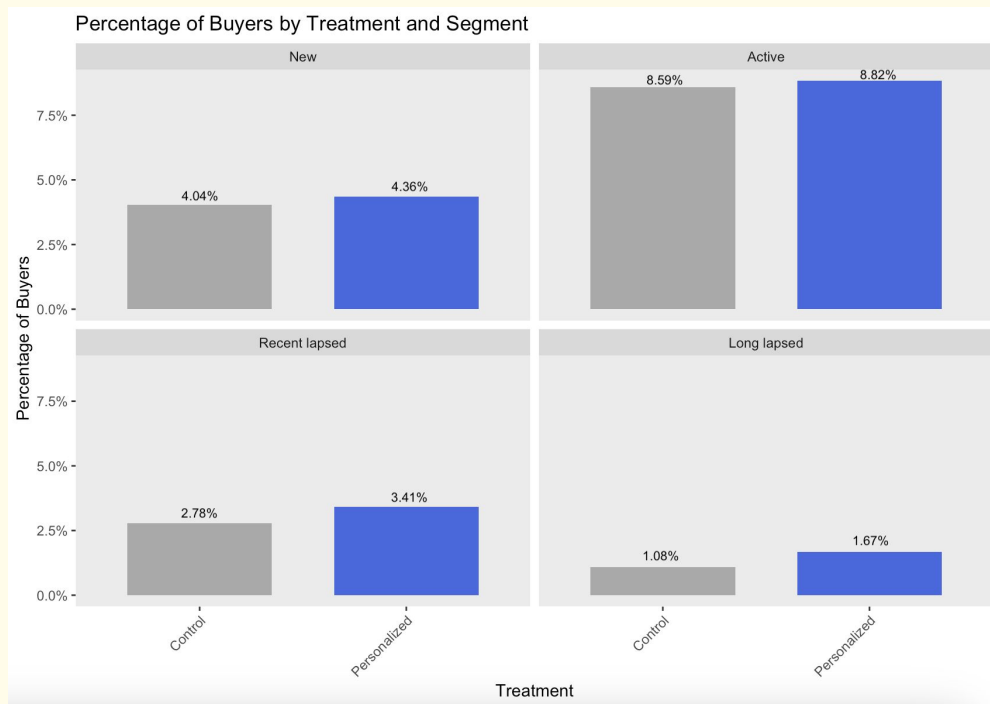
Group 20.7

01/22

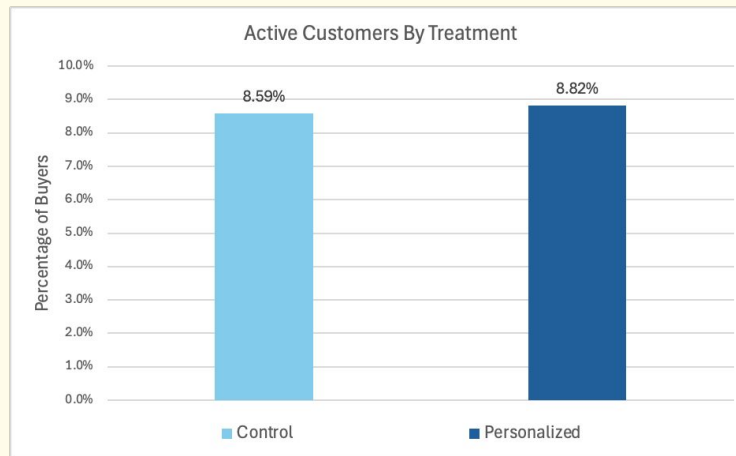
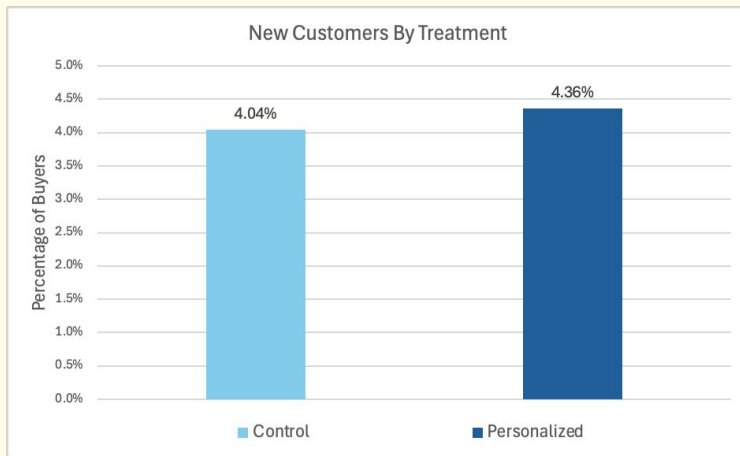
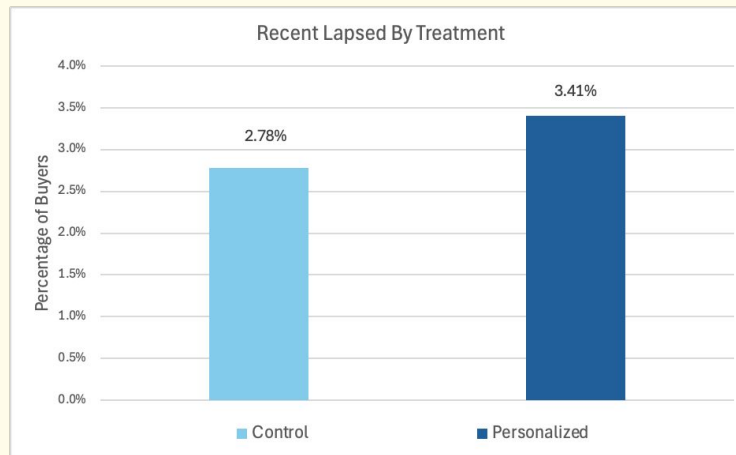
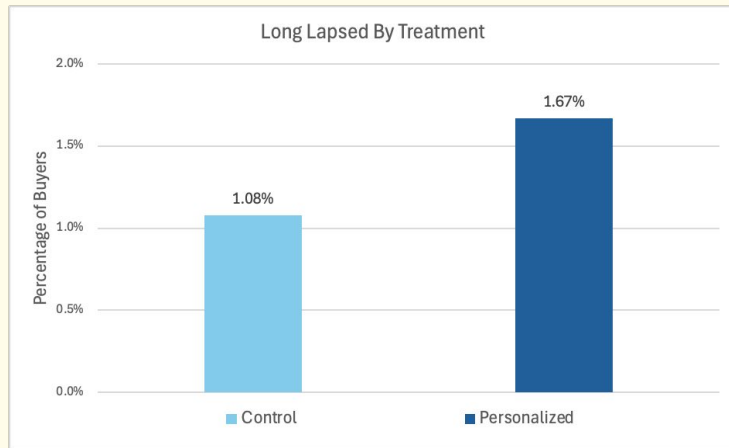
Ina Lin, Cindy Chou, Khwaish Gohil, Yin Zhi & Priya Thakore

Personalization & the Probability of Placing an Order

- Personalization increases the probability of placing an order for the “**long lapsed**” and “**recent lapsed**” segments.
- For recent lapsed, the probability increased from **2.78% to 3.41%**. (p value 0.005)
- For long-lapsed, the probability increased from **1.08% to 1.67%** (p value 0.044)
- Although it looks like there was a small increase for **new** and **active** buyers after personalization from the charts, these results were *not statistically significant*, therefore further investigation is required.



Personalization & the Probability of Placing an Order

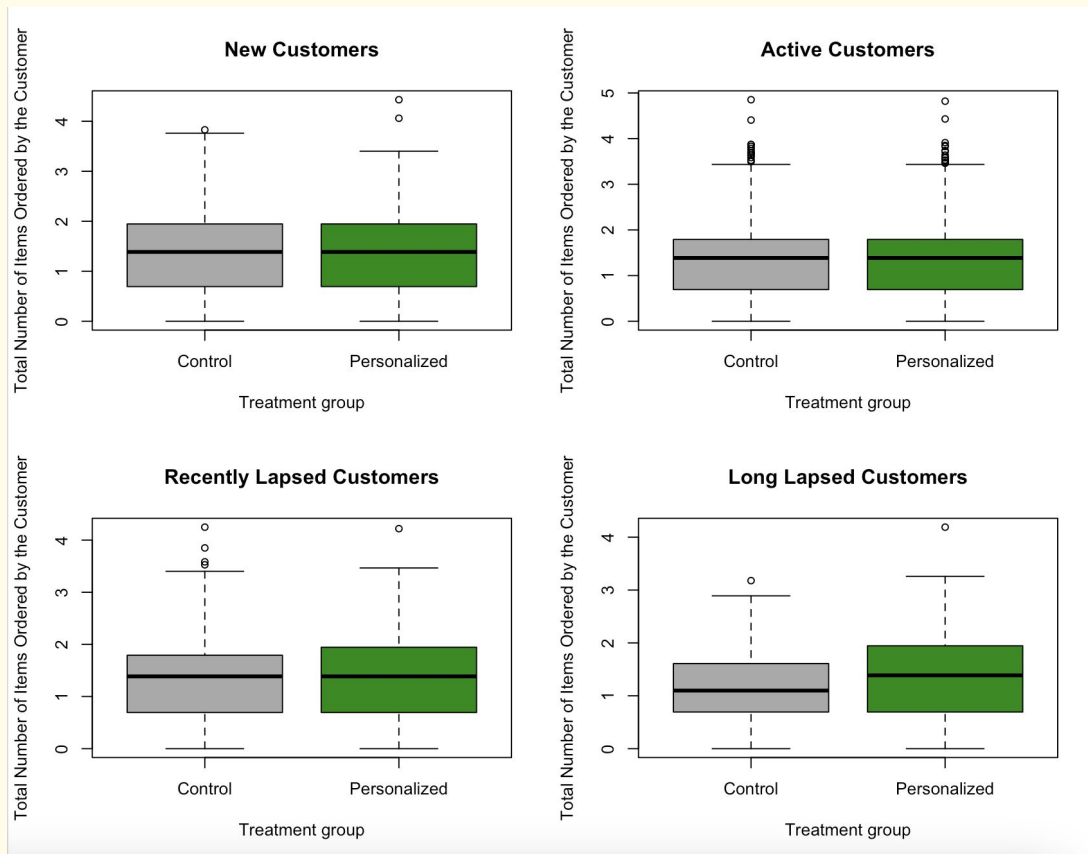


Personalization & Order Size

- Personalization successfully increases the order size for the “**long lapsed**” segment placing an order
- The p-value for the t-test between the mean of the original and new order size is 0.02 indicating a *significant difference*
- The mean of the new order size increased to **1.38** from **1.18** items showing an increase

For other segments:

- Although differences in order size exist, the p-values are all above 0.05 indicating *no significant* increase under personalization for those segments.



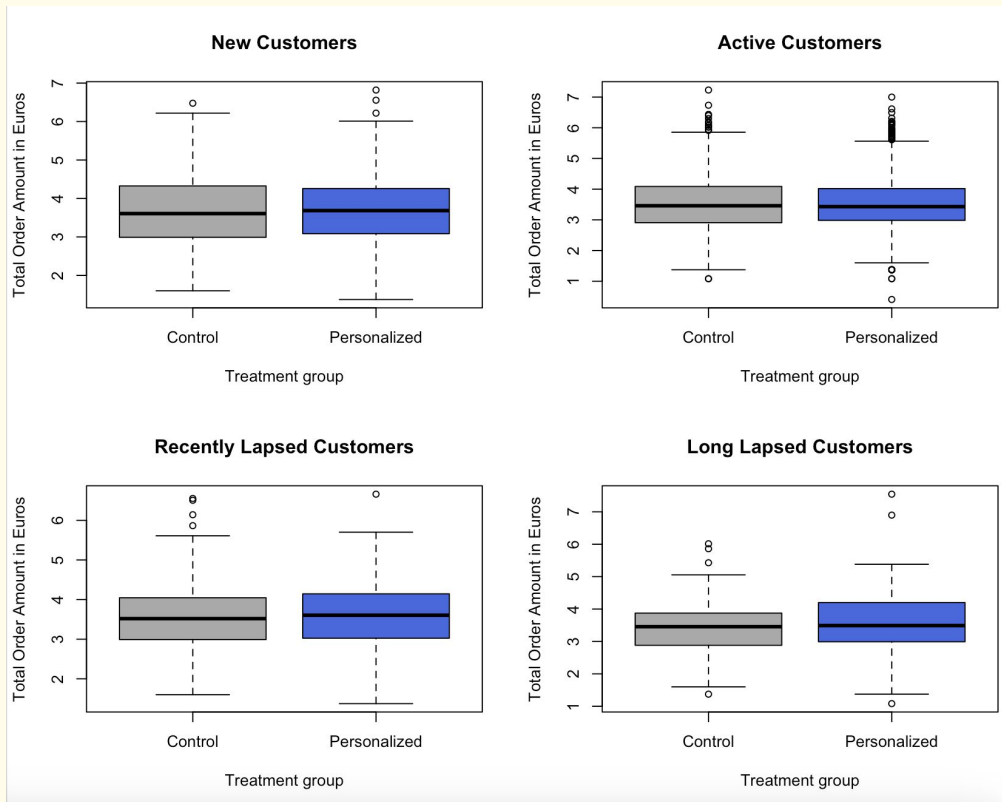
Personalization & Order Amount

- Personalization successfully increases the order amount for the “**long lapsed**” segment placing an order

- There is a statistically significant difference between the Control and Personalized groups with a **p-value of 0.04421**

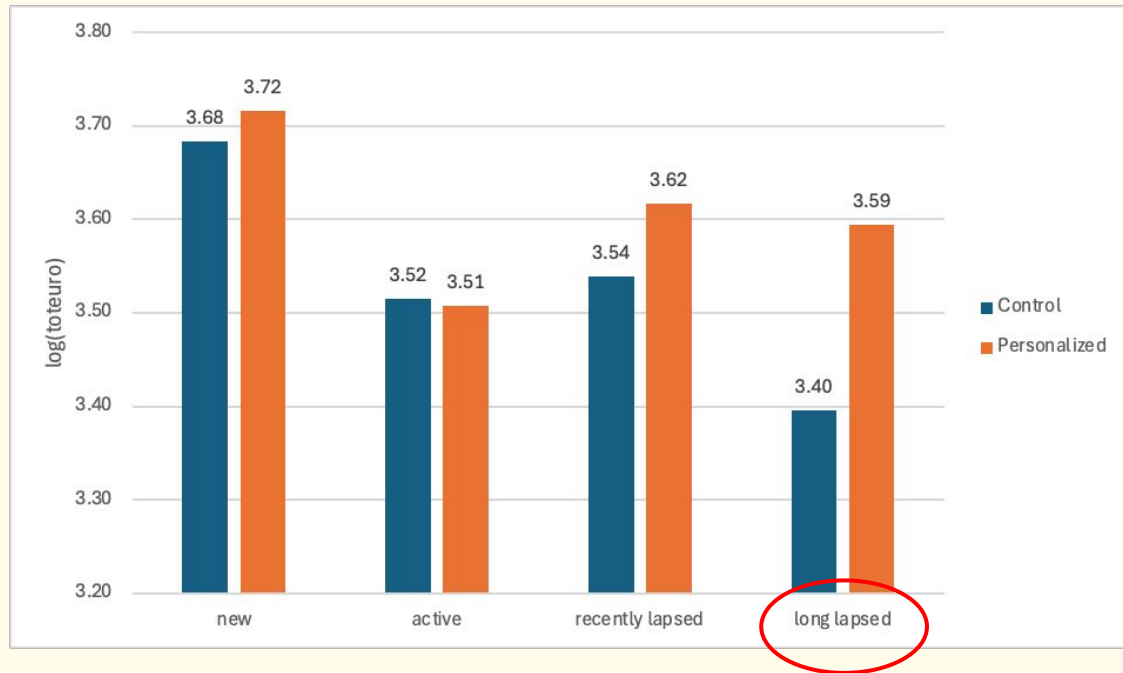
For other segments:

- Although differences in order size exist, the p-values are all above 0.05 indicating *no significant* increase under personalization for those segments.



Personalization & Order Amount - bar chart

- Mean in group Personalized showed clear difference from group Control in total order amount for the **“long lapsed customer”**.



The Financial Implications of Personalization

- By combining the results across Q1, Q2, and Q3, personalization was shown to be a **profitable strategy**
- **Long-lapsed customers** demonstrated the highest financial potential from personalization
- Long-lapsed customers generated **€791,738.44** in incremental revenue driven by significant improvements in response rates, order size, and order amount.
- While Recently Lapsed Customers contribution was smaller, **€22,763.228**, it indicates potential for reactivating recently lapsed customers through personalization.

Thank you!

Any Questions?
